

Busted patterns. I have noticed that even when price breaks out in an adverse direction (a reversal of the prevailing trend), it quickly reverses again and resumes the original trend. This means, for example, in an upward trend price breaks out downward and falls by 10% or less, then heads back up and finishes much higher. [Figures 66.2](#) and [66.3](#) show examples. This behavior for reversals is something to watch out for, especially for downward breakouts in a raging bull market. Trading these busted patterns can be profitable.

Apex turning. Look at [Figure 66.6](#). See how price turns a day or two in front of the triangle's apex? [Figure 66.1](#) shows another example where a minor high appears the day before the two trendlines merge. In other words, look for price to make a minor high or low near the date of the triangle's apex.

I measured how often this works and wrote an article about it on my website (<http://thepatternsite.com/Apex.html>). I concluded, “Price reaches a minor high or minor low 75% of the time within a few days of the triangle apex. Price turns from down to up or up to down 60% of the time.”

If you draw your triangle accurately enough, then you'll know where price may turn by looking at the apex.

Experience

I have traded symmetrical triangles more than 60 times over the years. For a few lessons, let's look at sales using symmetrical triangles because that's where you get the most value from analyzing trades.

TD Ameritrade Inc.

The first one comes from TD Ameritrade Inc. (AMTD) in 2004. Here's what I wrote in my notebook: “21 January 2004. I bought at market, filled at 17.11. Earnings were announced yesterday, and the stock popped up. I expect an earnings flag [an event pattern] and decide to buy in at a good price before that happens. The company expects a strong fiscal 2004 and so do I. I've been trading more than ever. I thought of doubling my usual position, but consider my enthusiasm is getting carried away. Still, I view this as an easy way to make money—a lock, if you will. Downside is a